ONE LEGAL CULTURE / NEXTGEN SOCIO & ENVIRO ADVISORS
No.123, Green Avenue, SIDCO Industrial Estate, Coimbatore - 641 021, Tamil Nadu, India.

CORRECTIVE ACTION PLAN ACKNOWLEDGEMENT REPORT

CAPAR/2026/000005 | H&M MR Standards and local law

FACILITY Sri Balaji Textiles Private Limited - Spinning Unit	**AUDIT DATE** 27 Aug 2026
FACILITY ADDRESS 12/4, Avinashi Road, Coimbatore, Tamil Nadu, 641018	**FACILITY REPRESENTATIVE / TITLE** R. Muthu Kumar - Managing Director
AUDITOR Priya Venkatesan	**FIRM** One Legal Culture / NextGen Socio & Enviro Advisors

MINIMUM REQUIREMENT	VIOLATION
BUSINESS PRACTICES	No Violation
RECRUITMENT & HIRING	No Violation
COMPENSATION	2 violations - details below
WORKER INVOLVEMENT & COMMUNICATION	No Violation
EMERGENCY PLANNING & FIRE SAFETY	4 violations - details below
CHEMICAL MANAGEMENT	1 violation - details below
ENERGY USE & GHG EMISSIONS	No Violation
WATER USE	1 violation - details below
WASTE WATER / EFFLUENT	No Violation
OTHERS	No Violation

BUSINESS PRACTICES — No Violation

1. Factories Act 1948, Section 6 — NO VIOLATION

MINIMUM REQUIREMENT
Valid factory licence displayed

REMARKS
Licence is valid and displayed at the gate.

COMPENSATION — 2 violations

1. Factories Act 1948, Section 65(3) — VIOLATION

MINIMUM REQUIREMENT
Overtime must not exceed 60 hours a week or 75 hours a quarter

FINDING
It was noted during the document review that 3 out of 20 sampled employees worked up to 88 hours a week in March 2026 against the limit of 60 hours.

LOCAL LAW
In accordance with Section 65(2) of the Factories Act 1948, no worker shall be allowed to work overtime for more than seven days at a stretch and the total overtime in any quarter shall not exceed seventy-five hours.

ROOT CAUSE	ACTION PLAN	TIMELINE
Peak orders in March were met by extending the same workers instead of adding a shift.	Introduce a third relay for the carding section and track weekly overtime per worker in the attendance register.	11 Oct 2026 In Progress

2. Employees State Insurance (Central) Rules 1950, Rule 22

VIOLATION

MINIMUM REQUIREMENT

ESI contribution must cover all overtime wages

FINDING

ESI was not paid on overtime hours: Employee A worked 94 hours of overtime in March 2026 but ESI covered only 17 hours.

LOCAL LAW

Wages means all remuneration paid or payable in cash to an employee, and includes payment in respect of any period of authorised leave, lock-out, strike which is not illegal.

ROOT CAUSE	ACTION PLAN	TIMELINE
The payroll software was set to take ESI on basic wages only.	Correct the payroll head configuration, pay the difference with the next return and file the revised challan.	16 Sep 2026 Open

EVIDENCE ATTACHED

closure-evidence.pdf

EMERGENCY PLANNING & FIRE SAFETY

4 violations

1. Factories Act 1948, Chapter IV, Section 38(1)

VIOLATION

MINIMUM REQUIREMENT

Fire extinguishers on every floor

FINDING

It was noted during the factory tour that fire extinguishers were not installed at the first floor packed carton boxes store.

LOCAL LAW

In every factory, all practicable measures shall be taken to prevent outbreak of fire and its spread, both internally and externally, and to provide and maintain safe means of escape for all persons in the event of a fire, and the necessary equipment and facilities for extinguishing fire.

NON-COMPLIANCE PHOTO



ROOT CAUSE	ACTION PLAN	TIMELINE
The store was relocated in January and the fire safety plan was not updated.	Install four ABC extinguishers at the store, update the layout and add the points to the monthly fire inspection sheet.	10 Sep 2026 Closed

EVIDENCE ATTACHED

closure-evidence.pdf

2. Tamil Nadu Factories Rules 1950, Chapter IV, Rule 57(9)(p)

VIOLATION

MINIMUM REQUIREMENT

At least two exits for every floor area

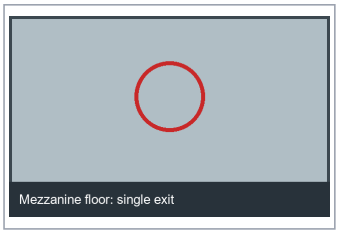
FINDING

It was noted during the factory tour that a secondary exit was not provided to the mezzanine floor of Building 6. No employee was working on the floor on the day of the audit.

LOCAL LAW

There shall not be less than two exits serving every floor area above and below the ground floor, and at least one of them shall be an internal enclosed stairway.

NON-COMPLIANCE PHOTO



ROOT CAUSE	ACTION PLAN	TIMELINE
The mezzanine was built as a storage platform and never assessed as a working floor.	Provide an external escape stair, or stop using the floor for work until it is built.	25 Nov 2026 In Progress

3. Factories Act 1948, Chapter IV, Section 38(1)

VIOLATION

MINIMUM REQUIREMENT

Escape routes kept free of obstruction

FINDING

It was noted that the escape route at the ground floor sewing section was partially blocked with trolleys and material bins (60 employees affected).

LOCAL LAW

In every factory, all practicable measures shall be taken to provide and maintain safe means of escape for all persons in the event of a fire.

NON-COMPLIANCE PHOTO



ROOT CAUSE	ACTION PLAN	TIMELINE
No marked parking area for trolleys.	Mark a yellow trolley zone, brief the supervisors and check the route in the weekly walk-through.	03 Sep 2026 Closed

4. Tamil Nadu Factories Rules 1950, Chapter IX, Rule 6(2)

VIOLATION

MINIMUM REQUIREMENT

Emergency shower with eye fountain in working order

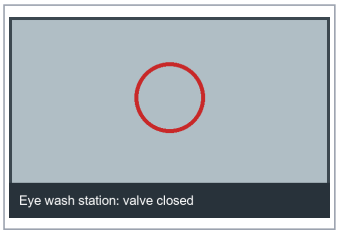
FINDING

1 out of 2 eye wash stations near the machine oils store was not in working condition.

LOCAL LAW

An approved type of emergency shower with eye fountain shall be provided and maintained in good working order.

NON-COMPLIANCE PHOTO



ROOT CAUSE	ACTION PLAN	TIMELINE
No routine test; the supply valve was closed.	Repair the unit, add a weekly flush test to the maintenance plan.	06 Sep 2026 Closed

CHEMICAL MANAGEMENT

1 violation

1. Tamil Nadu Factories Rules 1950, Chapter IX, Rule 95, Schedule XVI

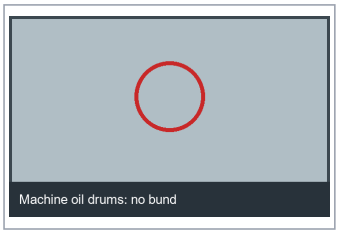
VIOLATION

MINIMUM REQUIREMENT
Secondary containment for oil storage

FINDING
Secondary containment was not provided to 2 out of 4 machine oil drums at the machine oils store.

LOCAL LAW
Standby arrangements equal to the biggest container shall always be available to transfer the toxic substances quickly into the standby storage facility.

NON-COMPLIANCE PHOTO



ROOT CAUSE	ACTION PLAN	TIMELINE
Drums were added after the original bund was built.	Build a bund sized for the largest drum and move the drums onto it.	26 Sep 2026 In Progress

WATER USE

1 violation

1. Tamil Nadu Panchayats (Regulation of Sinking of Wells and Safety Measures) Rules 2015

VIOLATION

MINIMUM REQUIREMENT
Permit for the borewell

FINDING
The borewell water usage approval applied for in April 2024 had not been received. The facility maintained monthly instead of daily readings of the borewell flow meter.

LOCAL LAW
Every application for grant of permit shall be made to the Executive Authority in Form A.

ROOT CAUSE	ACTION PLAN	TIMELINE
Follow-up with the department was not assigned to anyone.	Assign the compliance manager, follow up weekly and restart daily meter readings.	26 Sep 2026 Open

A closing meeting has been performed, and the above findings were discussed and were agreed.

Signature - Auditor
Print name: Priya Venkatesan
Date: 27 Aug 2026

Signature - Facility representative
Print name: R. Muthu Kumar
Date: 27 Aug 2026